S&D Co. (260970 KQ) · Stock update · 17 Oct 2026

Will Buldak break up with its sauce guy?

Price KRW 58,200 · Mkt cap KRW 168bn · TTM P/E 7.0x (about 4.5x net of ~KRW 59bn cash and short-term investments) · Screen verdict: PASS (provisional)

Bottom line. Our odds that Samyang Foods (Buldak) **fully drops** S&D within 3 years: **~10%**. Odds it moves a **meaningful slice** (25%+ of S&D's Samyang volume) in-house or to its new subsidiary G&F: **~35%**. The share price, down 60% from its June-2025 peak while profits grew ~30%, already behaves as if the partial breakup is *certain*. Scenario-weighted value is roughly **KRW 85k/share (+45%)**. It is not dating advice, but the relationship looks like it's in 'it's complicated', not 'it's over'.

Relationship status

S&D makes the flavour bases (liquid and powder) that go into Buldak sauce; industry sources say it supplies *all* of the core sauce ingredient. Samyang is an estimated **70-90% of S&D's revenue**. In July 2025 Samyang agreed to buy sauce maker **G&F** (~KRW 60bn) to bring outsourced soup production in-house. S&D fell ~20% that day and kept falling. Samyang is also building a KRW 78bn liquid-soup plant in Wonju (Feb 2027) to feed its new China factory (Jan 2027).

Evidence, both sides

Red flags (breakup risk)

- **It bought a new partner.** G&F already supplies Nongshim and Ottogi, and reportedly some Buldak sauce ingredients too.
- **Industry playbook:** Nongshim bought its own Shin Ramyun soup supplier (Sewoo, ~KRW 100bn). Insourcing the 'secret sauce' is in fashion; one insider says recipe security makes in-house production 'the norm'.
- **New capacity, new rules:** China volumes (1.1bn packs/yr planned) could be supplied by Samyang-owned plants rather than S&D.
- **Concentration:** one customer, one product family. A fad cooling would hurt even if the contract stays.

Green flags (still in love)

- **Fifteen months after the G&F deal, S&D is still growing fast:** 2Q26 revenue +31%, operating profit +39%. There is no sign of lost volume yet.
- **Changing the taste is scary:** analysts note the cost saving is not worth the risk of fans noticing a different Buldak. You don't swap the spice in a global hit casually.
- **The Wonju plant makes soup, not the base** (on our reading). More Samyang soup lines may mean *more* S&D base, not less.
- **S&D doubled capacity** (22k to 43.5k t, Oct 2025). It would be brave to do that without a heads-up from its main customer.
- **Cheap to acquire:** S&D's whole market cap is about 2% of Samyang's. Buying S&D is easier than replacing it.

Scenarios

Scenario (3 yrs)	Odds	What happens	Value/share*
Status quo: 'we're good'	45%	Buldak growth keeps flowing; NI ~KRW 24bn at 11x plus cash	~112k
Partial breakup: 'let's see other suppliers'	35%	S&D's Samyang volume -30%, revenue -24%, net margin 10%	~61k
Full breakup: 'it's not you, it's my factory'	10%	Revenue falls to ~KRW 45bn, profit near zero, worth roughly book value	~31k
Samyang buys S&D: 'put a ring on it'	10%	Nongshim-Sewoo-style vertical deal at a premium	~100k
Probability-weighted		vs. today's KRW 58,200 (market is pricing about the partial-breakup case)	**~85k**

*Our rough estimates: earnings multiple on normalised net income plus ~KRW 59bn liquid assets, 2.89m shares. Odds are analyst judgement, not a model output.

What would change our mind (the texts to watch for)

- **Breakup signals:** S&D quarterly revenue growth below Samyang's overseas growth for two quarters running; G&F capex on liquid bases; Samyang job ads for 'sauce base' R&D; the China plant's ingredient sourcing.
- **Reassurance signals:** a multi-year supply agreement disclosed on DART; S&D winning non-Samyang K-sauce customers (management is talking up diversification); continued buybacks.
- **Housekeeping:** confirm the FY2025 auditor is not Samil PwC, and the debt ratio in the 1H26 report on DART.

Verdict: keep it on the shortlist. The market has priced in a messy separation, but the evidence so far is a couple that redecorated the house, not one dividing the furniture. Position size should respect the one-customer risk. If you'd lose sleep over a Samyang press release, own it small or not at all.

Sources (Korean press via web search; DART not accessed): hankyung.com/article/202502273613L; dt.co.kr/article/12004849; smarttoday.co.kr/ko-kr/articles/85565 and /86937; ajunews.com/view/20250714095618167; sidae.com/article/2026012715542743518; metroseoul.co.kr/article/20250729500181; quartr.com (S&D 2Q26). Prices: FinanceData/marcap (KRX). Not investment advice.